4 The Role of Culture

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LEARNING OBJECTIVES

4.1. Discuss the primary characteristics of culture.

4.2. Describe the various elements of culture and provide examples of how they influence international business.

4.3. Assess the primary approaches for clustering and comparing cultures.

4.4. Explain how cultural conflicts may arise in international business.

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Hollywood and Bollywood standards. A big-budget film might reach $100,000, although $25,000 is more typical.

Most Nollywood films are filmed using digital cameras. Sets are often nonexistent: The streets, shops, and apartments of Lagos or the Nigerian countryside provide the backdrop for the films. As Nigerian filmmaker Ugezu J. Ugezu, notes, "In Nollywood, you don't waste time. It's not the technical depth that has made our films so popular. It's because of the story. We tell African stories."

Nollywood, in terms of numbers of films made, has surpassed Hollywood and Bollywood. Nigerian filmmakers churn out 2,000 to 2,500 movies a year. Over one million people are employed in the industry, which garners sales of $600 million a year. DVDs, not movie theaters, serve as the primary channel of distribution, and are sold for a dollar or two by street vendors. Nollywood producers gain most of their revenues within a week or two of their movie's release. They must act fast because pirates quickly make their own copies of any new movie; most Nigerian producers use the cash flow from one movie to finance their next one.

Nigerian filmmakers are adapting their products to seek a broader, pan-African market. Most of the films are in English, rather than in one of Nigeria's 510 living languages, to broaden their appeal throughout the continent. Casting and marketing are often intertwined. Hiring a Ghanaian actor or a Kenyan actress will likely boost sales in those countries. Such strategies have paid off, as Nollywood movies are available and popular throughout Africa. Satellite TV providers like South Africa's MultiChoice have dedicated channels beaming Nollywood products throughout sub-Saharan Africa. The demand for Nollywood movies is transcending the continent as well: To serve the African expat community in the United Kingdom, British satellite TV provider BSkyB now features Nollywood movies on its Vox Africa channel.[1]

Firms and businesspeople venturing beyond their familiar domestic markets soon recognize that foreign business customs, values, and definitions of ethical behavior differ vastly from their own. Firms that rely on their familiar home culture to compete in a new market can jeopardize their international success. Indeed, virtually all facets of an international firm's business—including contract negotiations, production operations, marketing decisions, and human resource management policies—may be affected by cultural variations. Culture can even confer a competitive advantage—or disadvantage—on firms, as "E-World" suggests. This chapter highlights some of the cultural differences among countries and explains how understanding those differences is invaluable for international businesspeople.

Characteristics of Culture

4.1. Discuss the primary characteristics of culture.

Business, like all other human activities, is conducted within the context of society. **Culture** is the collection of values, beliefs, behaviors, customs, and attitudes that distinguish one society from another. A society's culture determines the rules that govern how firms operate in the society. Several characteristics of culture are worth noting for their relevance to international business:

- Culture reflects *learned behavior* that is transmitted from one member of a society to another. Some elements of culture are transmitted intergenerationally, as when parents teach their children table manners. Other elements are transmitted intragenerationally, as when seniors educate incoming freshmen about a school's traditions.
- The elements of culture are *interrelated*. For example, Japan's group-oriented, hierarchical society stresses harmony and loyalty, which historically translated into lifetime employment and minimal job switching.
- Because culture is learned behavior, it is *adaptive*; that is, the culture changes in response to external forces that affect the society. For example, after World War II, Germany was divided into free-market-oriented West Germany and communist-controlled East Germany. Despite their having a common heritage developed over centuries, this division created large cultural differences between *Ossis* (East Germans) and *Wessis* (West Germans). The differences resulted from adaptations of the East German culture to the dictates of communist ideology regarding attitudes toward work, risk taking, and fairness of reward systems.
- Culture is *shared* by members of the society and indeed defines the membership in the society. Individuals who share a culture are members of a society; those who do not are outside the boundaries of the society.

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E-WORLD

THE INTERNET, NATIONAL COMPETITIVENESS, AND CULTURE

What does it take to succeed in the Internet age? According to some experts, a country needs "superliquid and vast capital markets, venture-capital networks, world-class universities, risk-taking culture, restructuring ethos, and high-tech talent pools." The Internet, however, threatens to upset numerous culture norms. As you read this chapter, think about the requirements for success in the Internet age and the various elements of culture that are discussed. For example, you might consider the following questions:

- In some business cultures, pay is linked to seniority. Many small high-tech businesses, however, rely heavily on stock options to compensate their employees, and younger workers often have greater technical skills than older workers. How can such cultures reconcile these conflicting norms?
- Can group-oriented cultures that promote a slow, consensus-building style of decision making act quickly enough to compete in the fast-moving e-commerce environment?
- Some cultures dislike uncertainty and risk taking. How can they thrive in the Internet age, which to date has been characterized by high levels of uncertainty and risk?
- Some business cultures stress conducting business with those persons with whom you or your company have developed a long-term, trusting relationship. Is such an approach outmoded in the Internet age?

Source: Based on Arapicio, Manuela, Bacao, Fernando, and Oliveira, Tiago, "Cultural Impacts on e-learning systems' success," *The Internet and Higher Education*, Volume 31, October 2016, pp. 58–70; Buff, Cheryl, Seifert, Charles, and Van Ness, Raymond, "Exploring Individual Culture and Internet Commerce Success Factors," *DIAS Technical Review—The International Journal for Business & IT*, Volume 4, number 2, pp. 17–29 (2008); "Edging Towards the Information Age," *Businessweek*, January 31, 2000, p. 90.

In Practice

- Culture is not something we are born with. It is something we learn from other members of our society.
- Culture may affect business opportunities and business procedures. Firms should make sure that they understand the local culture before entering a new host country.

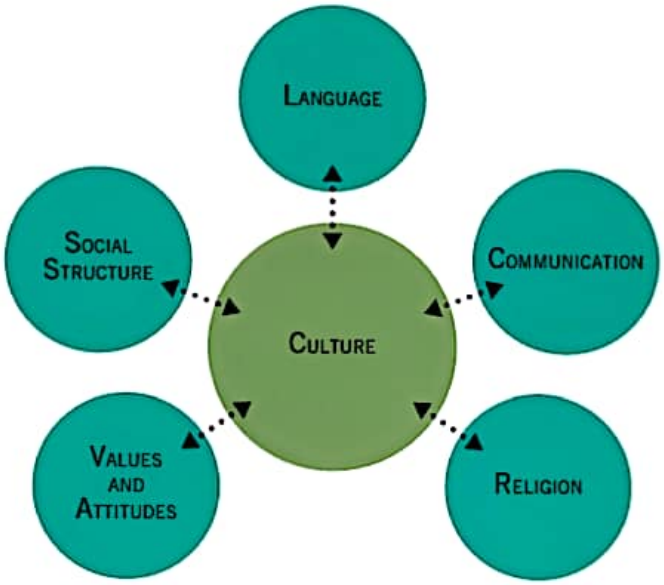
For further consideration: What types of cultures facilitate success in fast-moving industries like e-commerce?

Elements of Culture

4.2. Describe the various elements of culture and provide examples of how they influence international business.

A society's culture determines how its members communicate and interact with each other. The basic elements of culture (see Figure 4.1) are social structure, language, communication, religion, and values and attitudes. The interaction of these elements affects the local environment in which international businesses operate. They also affect the ability of countries to respond to changing circumstances, as "Bringing the World into Focus" suggests.

FIGURE 4.1
Elements of Culture



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Social Structure

Basic to every society is its social structure, the overall framework that determines the roles of individuals within the society, the stratification of the society, and individuals' mobility within the society.

INDIVIDUALS, FAMILIES, AND GROUPS All human societies involve individuals living in family units and working with each other in groups. Societies differ, however, in the way they define family and in the relative importance they place on the individual's role within groups. The American view of family ties and responsibilities focuses on the nuclear family (father, mother, and offspring). In other cultures, the extended family is far more important. Arabs, for example, consider uncles, brothers, cousins, and in-laws as parts of their family unit to whom they owe obligations of support and assistance. Other societies use an even broader definition of family. For instance, Somalia's society is organized in clans, each of which comprises individuals of the same tribe who share a common ancestor.

These differing social attitudes are reflected in the importance of the family to business. In the United States, firms discourage nepotism, and the competence of a man who married the boss's daughter is routinely questioned by coworkers. In Arab-owned firms, however, family ties are crucial, and hiring relatives is a common, accepted practice. Similarly, in Chinese-owned firms, family members often fill critical management positions and may supply capital from personal savings to ensure the firm's growth.[2]

Cultures also differ in the importance of the individual relative to the group. U.S. culture, for example, promotes individualism. Schools try to raise the self-esteem of each child and encourage each one to develop individual talents. Because respect for individual authority and responsibility is so strong in the United States, children are trained to believe that their destinies lie in their own hands. Conversely, in group-focused societies such as Japan, children are taught that their role is to serve the group. Virtues such as unity, loyalty, and harmony are highly valued in such societies. These characteristics often are more important in hiring decisions than are personal accomplishments or abilities.[3] Accordingly, when the producers of the hit TV show *The Apprentice* tried to sell a Japanese version of the show to the major local TV networks, they ran into cultural barriers. Not only was there resistance to the public humiliation borne by those that would hear the dreaded words, "You're fired," but no high-profile CEO was willing to assume the Donald Trump role. Noted one expert, "Most Japanese companies are presented as the cumulative effort of many individuals rather than the creation of a single person."[4]

SOCIAL STRATIFICATION Societies differ in their degree of **social stratification**. All societies categorize people to some extent on the basis of their birth, occupation, educational achievements, or other attributes. However, the importance of these categories in defining how individuals interact with each other within and between these groups varies by society. In medieval Europe, for example, the roles and obligations of peasants, craftsmen, tradesmen, and nobles were carefully delineated by custom and law. The British class structure and the Indian caste system provide more recent examples of the same phenomenon, in which one's social position may affect many facets of one's dealings with other people. In other societies, social stratification is less important. For instance, an American bank president may haughtily bark orders at the janitorial staff when on the job yet willingly take orders from those same individuals when cleaning up after a church fund-raiser.

Multinational enterprises (MNEs) operating in highly stratified societies often must adjust their hiring and promotion procedures to take into account class or clan differences among supervisors and workers. Hiring members of one group to do jobs traditionally performed by members of another group may lower workplace morale and productivity. In less stratified societies, firms are freer to seek out the most qualified employee, regardless of whether that person went to the right school, goes to the proper church, or belongs to all the best clubs. In highly stratified societies, advertisers must tailor their messages more carefully to ensure that they reach only the targeted audience and do not spill over to another audience that may be offended by receiving a message intended for the first group. In less stratified societies, such concerns may be less important.

Social mobility is the ability of individuals to move from one stratum of society to another. Social mobility tends to be higher in less stratified societies. It is higher in the United States, for example, than in the United Kingdom or India. Social mobility (or the lack thereof) often affects individuals' attitudes and behaviors toward such factors as labor relations, human capital

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formation, risk taking, and entrepreneurship. The United Kingdom's formerly rigid class system and relatively low social mobility created an "us versus them" attitude among many British industrial workers, causing them to eye suspiciously any management efforts to promote workplace cooperation. Until relatively recently, some British working-class youth dropped out of school, believing that their role in society was preordained and thus investment in education was a waste of time. In more socially mobile societies, such as those of the United States, Singapore, and Canada, individuals are more willing to seek higher education or to engage in entrepreneurial activities, knowing that if they are successful, they and their families are free to rise in society.

Language

Language is a primary delineator of cultural groups because it is an important means by which a society's members communicate with each other. Experts have identified some 3,000 different languages and as many as 10,000 distinct dialects worldwide (see Map 4.1).[5]

Language organizes the way members of a society think about the world. It filters observations and perceptions and thus affects, unpredictably, the messages that are sent when two individuals try to communicate. In one famous experiment in Hong Kong, 153 undergraduate students, bilingual in English and Chinese, were divided into two groups. One group was given a class assignment written in English; the other was given the same assignment written in Chinese. The professor in charge of the experiment took every precaution to ensure that the translations were perfect, yet the answers given by the two groups differed significantly, indicating that the language itself altered the nature of the information being conveyed.[6]

In addition to shaping one's perceptions of the world, language provides important clues about the cultural values of the society and aids acculturation. For example, many languages, including French, German, and Spanish, have informal and formal versions of the word *you*, the use of which depends on the relationship between the speaker and the person addressed.[7] Existence of these language forms provides a strong hint that one should take care in maintaining an appropriate level of formality when dealing with business people from countries in which those languages predominate.

The presence of more than one language group is an important signal about the diversity of a country's population and suggests that there may also be differences in income, cultural values, and educational achievement. For instance, India recognizes 16 official languages, and approximately 3,000 dialects are spoken within its boundaries, a reflection of the heterogeneity of its society. In several mountainous countries of South America, including Bolivia, Paraguay, and Peru, many poor rural residents speak local Indian dialects and have trouble communicating with the Spanish-speaking urban elites. Generally, countries dominated by one language group tend to have a homogeneous society, in which nationhood defines the society. Countries with multiple language groups tend to be heterogeneous, with language providing an important means of identifying cultural differences within the country.

Savvy businesspeople operating in heterogeneous societies adapt their marketing and business practices along linguistic lines to account for cultural differences among their prospective customers. For example, market researchers discovered that English Canadians favor soaps that promise cleanliness, whereas French Canadians prefer pleasant- or sweet-smelling soaps. Thus, Procter & Gamble's English-language Canadian ads for Irish Spring soap stress the soap's deodorant value, while its French-language ads focus on the soap's pleasant aroma.[8] Generally, advertisers should seek out the media—newspapers, radio, cable television, and magazines—that allow them to customize their marketing messages to individual linguistic groups. For instance, in the United States the development of Spanish-language television networks such as Univision and Telemundo has allowed advertisers to more easily customize their advertisements to reach the Hispanic market, without confusing their marketing messages to the larger, English-speaking audience.

LANGUAGE AS A COMPETITIVE WEAPON Linguistic ties often create important competitive advantages because the ability to communicate is so important in conducting business transactions. Commerce among Australia, Canada, New Zealand, the United Kingdom, and the United States is facilitated by their common use of English. For example, when Giro Sport Design, a California-based manufacturer of bicycle helmets, decided to fabricate its products in Europe rather than export from the United States, the firm told its location consultants to find a

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disasters. A classic case is KFC's initial translation of "Finger Lickin' Good" into Chinese, which came out as the far less appetizing "Eat Your Fingers Off." Similarly, the original translation of Pillsbury's Jolly Green Giant for the Saudi Arabian market was "intimidating green ogre"—a different image from what the firm intended (although it still might encourage children to eat their peas).

Firms can reduce the chances that they are sending the wrong message to their customers by using a technique known as backtranslation. With **backtranslation**, one person translates a document, then a second person translates the translated version back into the original language. This technique provides a check that the intended message is actually being sent, thus avoiding communication mistakes.

When communications to non-native speakers must be made in the home country's language, speakers and writers should use common words, use the most common meanings of those words, and try to avoid idiomatic phrases. Caterpillar is faced with the problem of communicating with the diverse international users of its products. It developed its own language instruction program called Caterpillar Fundamental English (CFE), which it uses in its overseas repair and service manuals. CFE is a simplified, condensed version of English that can be taught to non-English-speaking people in 30 lessons. It consists of 800 words that are necessary to repair Caterpillar's equipment: 450 nouns, 70 verbs, 100 prepositions, and 180 other words.[15] A similar approach developed by the European Association of Aerospace Industries, "Simplified English," is required to be used in aircraft maintenance manuals written for its members. It has subsequently been adopted as an international standard in the industry.[16]

SAYING NO Another cultural difficulty international businesspeople face is that words may have different meanings to persons with diverse cultural backgrounds. North Americans typically translate the Spanish word *mañana* literally to mean "tomorrow," but in parts of Latin America, the word is used to mean "some other day—not today."

Even the use of yes and no differs across cultures. In contract negotiations, Japanese businesspeople often use yes to mean "Yes, I understand what is being said." Foreign negotiators often assume that their Japanese counterparts are using yes to mean "Yes, I agree with you," and are disappointed when the Japanese later fail to accept contract terms that the foreigners had assumed were agreed to. Misunderstandings can be compounded because directly uttering "no" is considered impolite or inhospitable in Japan, as well as in China, India, and the Middle East. In such cultures, negotiators who find a proposal unacceptable will, to be polite, suggest that it "presents many difficulties" or requires "further study."[17] Foreigners waiting for a definitive "no" may have to wait a long time. Such behavior may be considered evasive in U.S. business culture, but it is the essence of politeness in these business cultures.

Communication

Communicating across cultural boundaries, whether verbally or nonverbally, is a particularly important skill for international managers. Although communication can often go awry between people who share a culture, the chances of miscommunication increase substantially when the people are from different cultures. In such cases, the senders encode messages using their cultural filters and the receivers decode the same messages using their filters. The result of using different cultural filters is often a misunderstanding that is expensive to resolve. For example, a contract between Boeing and a Japanese supplier called for the fuselage panels for Boeing's 767 aircraft to have a "mirror finish." Labor costs for the part were higher than expected because the Japanese supplier polished and polished the panels to achieve what it believed to be the desired finish, when all Boeing wanted was a shiny surface.[18]

NONVERBAL COMMUNICATION Members of a society communicate with each other using more than words. In fact, some researchers believe 80 to 90 percent of all information is transmitted among members of a culture by means other than language.[19] This nonverbal communication includes facial expressions, hand gestures, intonation, eye contact, body positioning, and body posture. In the United States, for example, businesspersons often greet colleagues, customers, or suppliers with a handshake. In Brazil, hugs, back clasps, and cheek kisses, as well as

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TABLE 4.1 Forms of Nonverbal Communication

Dress: fashionable, flashy, or conservative
Hand gestures
Facial expressions: smiles, frowns, nods, eye contact (or lack of it)
Hair styles
Greetings: bows, hugs, kisses, and handshakes
Perfumes and colognes
Physical contact: hand holding, pats on the back
Posture: formal or relaxed?
Time: arrive promptly, early, or late?
Waiting your turn: queue up? or not?
Walking: fast, slow; in group or single file; position of leader within group

Source: Based on Gary Ferraro, *The Cultural Dimension of International Business*, 6th ed., Prentice Hall, 2010, pp. 82–105; Lillian Chaney and Jeanette Martin, *Intercultural Business Communication*, 2nd ed., Prentice Hall, 2000, pp. 105–128.

handshakes, would be expected, depending on the gender, length of relationship, and level of trust between the two individuals.[20] Although most members of a society quickly understand nonverbal forms of communication common to their society, outsiders may find the nonverbal communication difficult to comprehend. Table 4.1 lists some of the many common forms of nonverbal communication.

Because of cultural differences, nonverbal forms of communication often can lead to misunderstandings. For example, in the United States, people discussing business at a party typically stand 20 inches from each other. In Saudi Arabia, the normal conversational distance is 9 to 10 inches. A U.S. businessperson conversing with a Saudi counterpart at a party will respond to the Saudi's polite attempts to move in closer by politely moving back. Each is acting politely within the context of his or her own culture—and insulting the other in the context of that person's culture.[21]

Differences in the meanings of hand gestures and facial expressions also exist among cultures. Nodding one's head means "yes" in the United States but "no" in Bulgaria. Joining the thumb and forefinger in a circle while extending the remaining three fingers is the signal for "okay" in the United States; however, it symbolizes money to the Japanese, worthlessness to the French, male homosexuals to the Maltese, and a vulgarity in many parts of Eastern Europe.[22] Needless to say, international businesspeople should avoid gesturing in a foreign culture unless they are sure of a gesture's meaning in that culture.

Even silence has meaning. People in the United States tend to abhor silence at meetings or in private conversation, believing that silence reflects an inability to communicate or to empathize. In Japan silence may indicate nothing more than that the individual is thinking or that additional conversation would be disharmonious. U.S. negotiators have often misinterpreted the silence of their Japanese counterparts and offered contract concessions when none were needed, simply to end a lull in the discussion. Attitudes toward silence also affect management styles. In the United States good managers solve problems. Thus, U.S. managers often attempt to dominate group discussions to signal their competence and leadership abilities. In Japan good managers encourage their subordinates to seek solutions that are acceptable to all involved parties. A Japanese manager therefore will demonstrate leadership by silence, thereby encouraging full participation by subordinates attending a meeting and promoting group consensus.[23]

GIFT-GIVING AND HOSPITALITY Gift-giving and hospitality are important means of communication in many business cultures. Japanese business etiquette requires solicitous hospitality. Elaborate meals and after-hours entertainment serve to build personal bonds and group harmony among the participants. These personal bonds are strengthened by the exchange of gifts, which vary according to the occasion and the status of the giver and the recipient. However, business gifts

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are opened in private so as not to cause the giver to lose face should the gift be too expensive or too cheap relative to the gift offered in return. Because the rules for gift-giving can be quite complicated, even to native Japanese, etiquette books that detail the appropriate gift for each circumstance are available.

Arab businesspeople, like the Japanese, are concerned about their ability to work with their proposed business partners; the quality of the people one deals with is just as important as the quality of the project. Thus, the business culture of Arab countries also includes gift-giving and elaborate and gracious hospitality as a means of assessing these qualities. Unlike in Japan, however, business gifts are opened in public so that all may be aware of the giver's generosity.

Hospitality customs also differ. When wooing clients, power-lunching U.S. executives often seek the most conspicuous table in a fancy restaurant as a means of communicating their status and clout. Conversely, in China business banquets are an important mechanism for developing the personal relationships so important in that business culture. However, such events, which typically feature rounds of toasting interspersed with numerous courses of expensive delicacies, are normally located in a private dining room of an expensive restaurant. The U.S. executive's "see and be seen" desire is the antithesis of the Chinese executive's desire for privacy.[24]

Norms of hospitality even affect the way bad news is delivered in various cultures. In the United States bad news is typically delivered as soon as it is known. In Korea it is delivered at day's end so it will not ruin the recipient's whole day. Further, in order not to disrupt personal relationships, the bad news is often only hinted at. In Japan maintaining harmony among participants in a project is emphasized, so bad news often is communicated informally from a junior member of one negotiating team to a junior member of the other team. Even better, a third party may be used to deliver the message to preserve harmony within the group.

Religion

Religion is an important aspect of most societies. It affects the ways in which members of a society relate to each other and to outsiders. Approximately 84 percent of the world's 7.5 billion people claim some religious affiliation. As reflected in Map 4.3, 77 percent of the world's population adheres to one of four religions: Christianity (31.2 percent), including Roman Catholics, Protestants, and Eastern Orthodox; Islam (24.1 percent); Hinduism (15.1 percent); and Buddhism (6.9 percent).[25]

Religion shapes the attitudes its adherents have toward work, consumption, individual responsibility, and planning for the future. Sociologist Max Weber, for example, has associated the rise of capitalism in Western Europe with the **Protestant ethic**, which stresses individual hard work, frugality, and achievement as a means of glorifying God. The Protestant ethic makes a virtue of high savings rates, constant striving for efficiency, and reinvestment of profits to improve future productivity, all of which are necessary for the smooth functioning of a capitalist economy.

In contrast, Hinduism emphasizes spiritual accomplishment rather than economic success. The goal of a Hindu is to achieve union with Brahma, the universal spirit, by leading progressively more ascetic and pure lives as one's reincarnated soul goes through cycles of death and rebirth. The quest for material possessions may delay one's spiritual journey. Thus, Hinduism provides little support for capitalistic activities such as investment, wealth accumulation, and the constant quest for higher productivity and efficiency.

Islam, although supportive of capitalism, places more emphasis on the individual's obligation to society. According to Islam, profits earned in fair business dealings are justified, but a firm's profits may not result from exploitation or deceit, for example, and all Muslims are expected to act charitably, justly, and humbly in their dealings with others. The Islamic prohibition against payment or receipt of interest, noted in Chapter 3, results from a belief that the practice represents exploitation of the less fortunate. Firms wishing to do business with Muslim customers must often adapt their policies and procedures even in non-Muslim countries, as "Bringing the World into Focus" demonstrates.

Religion affects the business environment in other important ways. Often religions impose constraints on the roles of individuals in society. For example, the caste system of Hinduism

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traditionally has restricted the jobs individuals may perform, thereby affecting the labor market and foreclosing business opportunities.[26] Countries dominated by strict adherents to Islam, such as Saudi Arabia, limit job opportunities for women, in the belief that their contact with adult males should be restricted to relatives. Religion may also affect the way products are sold. In Nigeria, advertisements in the predominantly Christian south might feature attractive women mouthing double entendres, following the old Madison Avenue precept that "sex sells"; in the predominantly Muslim north that approach would not be beneficial.[27]

Religion also affects the types of products consumers may purchase as well as seasonal patterns of consumption. In most Christian countries, for example, the Christmas season represents an important time for gift-giving, yet little business is done on Christmas Day itself. Although consumption booms during the Christmas holidays, production plummets as employees take time off to visit friends and family.

The impact of religion on international businesses varies from country to country, depending on the country's legal system, its homogeneity of religious beliefs, and its toleration of other religious viewpoints. Consider Saudi Arabia, home of the holy city of Mecca, to which all Muslims are supposed to make a pilgrimage sometime in their lives. The teachings of the *Koran* form the basis of the country's theocratic legal system, and 99 percent of the Saudi population is Muslim. Strong political pressure exists within the country to preserve its religious traditions. It is impossible to overstate the importance to foreign businesspeople of understanding the tenets of Islam as they apply to exporting, producing, marketing, or financing goods in the Saudi market. For example, work stops five times a day when the faithful are called to pray to Allah. A non-Muslim manager would be foolish to object to the practice even though it seemingly leads to lost production. Foreigners must also be considerate of their Saudi hosts during the holy month of Ramadan, when the Muslim faithful fast from sunrise to sunset. Female executives of Western firms face additional obstacles because of Saudi attitudes toward the appropriate roles for women, attitudes that stem from their religion. Even actions taken outside Saudi borders may affect commercial relations with the country. For example, McDonald's made a major faux pas when it printed the flags of all of the teams participating in the World Cup finals, including that of Saudi Arabia, on its paper takeout bags. The Saudi flag includes a sacred inscription that reads, "There is no God but Allah, and Mohammed is His Prophet." Muslims in Saudi Arabia and other countries were outraged, believing that Islam had been insulted by including the name of Allah on a container that would be thrown into garbage cans. McDonald's quickly apologized and pledged to stop using the bags, thereby diffusing a controversy that would have affected its business in Saudi Arabia and other Muslim countries. Nike made a similar gaffe when Muslim groups protested that the logo designed for a line of athletic shoes it was introducing resembled the Arabic word for God, Allah. Nike quickly pulled the footwear from production and redesigned the offending logo.[28]

In many other countries, however, religion, although important, does not permeate every facet of life. For example, in many South American countries most of the population is Roman Catholic. But other religions are also practiced, and tolerance of those religions is high. The Catholic Church is an important pillar of these societies, but only one of many institutions that affect and shape the daily lives of the citizens. Yet public holidays reflect Christian theology (Easter, Christmas), as does the workweek (Sunday is the day of rest). A firm operating in these countries thus needs to adjust its production and employee scheduling to meet the expectations of its workers and customers. Firms operating in Sweden, which is 97 percent Lutheran, must make similar adjustments.

Ironically, countries characterized by religious diversity may offer even greater challenges. Firms that operate in the cosmopolitan cities of London and New York, such as Barclays Bank, Hoffmann-LaRoche, and IBM, must accommodate the religious needs of their Jewish, Christian, Muslim, and Hindu employees and customers by taking into account differences in religious holidays, dietary restrictions or customs, and Sabbath days. Firms that fail to adjust to these needs may suffer from absenteeism, low morale, and lost sales.

Values and Attitudes

Culture also affects and reflects the secular values and attitudes of the members of a society. Values are the principles and standards accepted by the members; attitudes encompass the actions, feelings, and thoughts that result from those values. Cultural values often stem from deep-seated beliefs about the individual's position in relation to his or her deity, the family, and the social

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hierarchy that we discussed previously. Cultural attitudes toward such factors as time, age, education, and status reflect these values and in turn shape the behavior of and opportunities available to international businesses operating in a given culture.

TIME Attitudes about time differ dramatically across cultures. In Anglo-Saxon cultures, the prevailing attitude is "time is money." Time represents the opportunity to produce more and to raise one's income, so it is not to be wasted. Underlying this attitude is the Protestant ethic, which encourages people to better their positions in life through hard work, and the puritanical belief that "idle hands are the Devil's workshop." As a result, U.S. and Canadian businesspeople expect meetings to start on time, and keeping a person waiting is considered extremely rude.

In Latin American cultures, however, few participants would think it unusual if a meeting began 45 minutes after the appointed time.[29] In Arab cultures, meetings not only often start later than the stated time, but they also may be interrupted by family and friends who wander in to exchange pleasantries. Westerners may interpret their host's willingness to talk to these unscheduled visitors as a sign of rudeness and as a subtle device to undermine the Westerners' dignity. Nothing could be further from the truth. This open-door policy reflects the hospitality of the host and the respect the host offers to all guests—just the sort of person with whom the Arab presumes the Westerners want to do business.[30]

Even the content of business meetings can vary by country. If a meeting is scheduled for 2 P.M., U.S., Canadian, and British businesspeople arrive at 1:55 P.M. and expect the meeting to start promptly at 2 P.M. After exchanging a few pleasantries, they then get down to business, following a well-planned agenda that has been distributed in advance to the participants. At the meeting, the positions of the parties are set forth and disagreement is common. In contrast, in Japan or Saudi Arabia the initial meeting often focuses on determining whether the parties can trust each other and work together comfortably, rather than on the details of the proposed business. This time, however, is not being wasted. Because these cultures value personal relationships so highly, time is being used for an important purpose—assessing the qualities of potential business partners.

AGE Important cultural differences exist in attitudes toward age. Youthfulness is considered a virtue in the United States. Many U.S. firms devote much time and energy to identifying young "fast-trackers" and providing them with important, tough assignments, such as negotiating joint ventures with international partners. In Asian and Arab cultures, however, age is respected and a manager's stature is correlated with age. These cultural differences can lead to problems. For example, many foreign firms mistakenly send young, fast-track executives to negotiate with government officials of China. The Chinese, however, prefer to deal with older and more senior members of a firm, and thus may be offended by this approach.

In Japan's corporate culture, age and rank are highly correlated, but senior (and, by definition, older) managers will not grant approval to a project until they have achieved a consensus among junior managers. Many foreign firms mistakenly focus their attention in negotiations on the senior Japanese managers, failing to realize that the goal should be to persuade the junior managers. Once the junior managers consent to a project, the senior managers will grant their approval as well.

EDUCATION A country's formal system of public and private education is an important transmitter and reflection of the cultural values of its society. For instance, U.S. primary and secondary schools emphasize the role of the individual and stress the development of self-reliance, creativity, and self-esteem. The United States prides itself on providing widespread access to higher education. Research universities, liberal arts colleges, and community colleges coexist to meet the educational needs of students with disparate incomes and intellectual talents. In contrast, the United Kingdom, reflecting its past class system, has historically provided an elite education to a relatively small number of students. Germany has well-developed apprenticeship programs that train new generations of skilled craftspeople and machinists for its manufacturing sector. The Japanese and French educational systems share a different focus. Their primary and secondary schools concentrate on preparing students to take a nationwide college entrance exam. The top-scoring students gain entry to a handful of prestigious universities—such as Tokyo University or Kyoto University in Japan and the five Grandes Écoles in France—which virtually guarantee their graduates placement in the most

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important corporate and governmental jobs in their societies. China's public educational system focuses on promoting "socialism with Chinese characteristics," which is the ideological goal of the ruling Communist Party.[31]

STATUS The means by which status is achieved also vary across cultures. In some societies status is inherited as a result of the wealth or rank of one's ancestors. In others it is earned by the individual through personal accomplishments or professional achievements. In some European countries, for example, membership in the nobility ensures higher status than does mere personal achievement, and persons who inherited their wealth look down their noses at the nouveau riche. In the United States, however, hard-working entrepreneurs are honored, and their children are often disdained if they fail to match their parents' accomplishments.

In Japan a person's status depends on the status of the group to which he or she belongs. Thus, Japanese businesspeople often introduce themselves by announcing not only their names but also their corporate affiliation. Attendance at elite universities such as Tokyo University or employment in elite organizations such as Toyota Motor Corporation or the Ministry of Finance grants one high status in Japanese society.

In India status is affected by one's caste. The caste system divides society into various groups including *Brahmins* (priests and intellectuals), *Kshatriyas* (soldiers and political leaders), *Vaishyas* (businesspeople), *Sudras* (farmers and workers), and *Dalits* (untouchables), who perform the dirtiest and most unpleasant jobs. According to Hinduism, one's caste reflects the virtue (or lack of virtue) that one exhibited in a previous life. Particularly in rural areas, caste used to affect every facet of life, from the way a man shaped his mustache to the food the family ate to the job a person could hold.[32] However, the power of the caste system in rural areas is slowly eroding as a result of government affirmative action policies and the growing scarcity of high-skilled employees needed by India's high-tech industries. Infosys, for example, has been forced to broaden its recruiting efforts to 700 colleges, many of which are located in semirural areas where lower-caste individuals often live, in order to acquire the talented workers it requires. A decade ago, the high-tech firm could meet its hiring needs by recruiting at 50 Indian universities, most of which were located in urban areas.[33]

In Practice

- Communication is critical to avoiding business misunderstandings, so accordingly linguistic ties often facilitate commerce between countries.
- Religion often shapes attitudes toward hard work, investment, fairness, payment of interest, and treatment of others.

For further consideration: How would you characterize the values of your home country's culture?

Seeing the Forest, Not the Trees

4.3. Assess the primary approaches for clustering and comparing cultures

The various elements of national culture affect the behavior and expectations of managers and employees in the workplace. International businesspeople, who face the challenge of managing and motivating employees with different cultural backgrounds, need to understand these cultural elements if they are to be effective managers. To a beginning student in international business, however, this discussion of the elements of culture can be confusing. Moreover, many students and businesspeople panic at the thought of memorizing a bunch of rules—"the French do this," "the Saudis do that," and so on. Fortunately, numerous scholars have tried to make sense of the various elements of culture. Their efforts make it easier for international managers to understand the big picture regarding a country's culture and how it affects their ability to manage their firms. In this section, we present the work of several of these scholars.

Hall's Low-Context–High-Context Approach

One useful way of characterizing differences in cultures is the low-context–high-context approach developed by Edward and Mildred Hall.[34] In a **low-context culture**, the words used by the speaker explicitly convey the speaker's message to the listener. Anglo-Saxon countries,

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TABLE 4.2 Examples of Low and High Context Cultures

Low-Context Cultures	High-Context Cultures
German	Chinese
Swiss	Korean
Austrian	Japanese
Scandinavian	Vietnamese
U.S./Canadian	Arab
British	Greek
Australian	Spanish

such as Canada, the United Kingdom, and the United States, and Germanic countries are good examples of low-context cultures (see Table 4.2). In a **high-context culture**, the context in which a conversation occurs is just as important as the words that are actually spoken, and cultural clues are important in understanding what is being communicated. Examples are Arab countries and Japan.

Business behaviors in high-context cultures often differ from those in low-context cultures. For example, German advertising is typically fact oriented, whereas Japanese advertising is often more emotion oriented.[35] High-context cultures place higher value on interpersonal relations in deciding whether to enter into a business arrangement. In such cultures preliminary meetings are often held to determine whether the parties can trust each other and work together comfortably. Low-context cultures place more importance on the specific terms of a transaction.[36] In low-context cultures such as Canada, the United Kingdom, and the United States, lawyers are often present at negotiations to ensure that their clients' interests are protected. Conversely, in high-context cultures such as Saudi Arabia, Japan, and Egypt, the presence of a lawyer, particularly at the initial meeting of the participants, would be viewed as a sign of distrust. Because these cultures value long-term relationships, an assumption by a potential partner that one cannot be trusted may be sufficient grounds to end the negotiations.

The Cultural Cluster Approach

The cultural cluster approach is another technique for classifying and making sense of national cultures. Similarities exist among many cultures, thereby reducing some of the need to customize business practices to meet the demands of local cultures. Anthropologists, sociologists, and international business scholars have analyzed such factors as job satisfaction, work roles, and interpersonal work relations in an attempt to identify clusters of countries that share similar cultural values that can affect business practices. Map 4.4 shows 10 country clusters, synthesized from the work of several teams of researchers. A **cultural cluster** comprises countries that share many cultural similarities, although differences do remain. Many clusters are based on language similarities, as is apparent in the Anglo, Germanic, Latin American, and Middle Eastern clusters and, to a lesser extent, in the Nordic and Latin European clusters. Of course, one can disagree with some placements of countries within clusters. Spain and the countries of Latin America share many culture values, for example.

Many international businesses instinctively use the cultural cluster approach in formulating their internationalization strategies. U.S. firms' first exporting efforts often focus on Canada and the United Kingdom. Hong Kong and Taiwanese firms have been successful in exploiting China's markets. Similarly, many Spanish firms have chosen to focus their international expansion efforts on Spanish-speaking areas in the Americas.

Closeness of culture may affect the form that firms use to enter foreign markets. Researchers have found, for example, that Canadian firms are more likely to enter the British market by establishing joint ventures with British firms, whereas Japanese firms are more likely to enter the British market via a **greenfield investment**, that is, a brand-new investment. The likely reason for the difference? Because of the relative closeness of their national cultures, Canadian firms are more comfortable working with British partners than are Japanese firms.[37]

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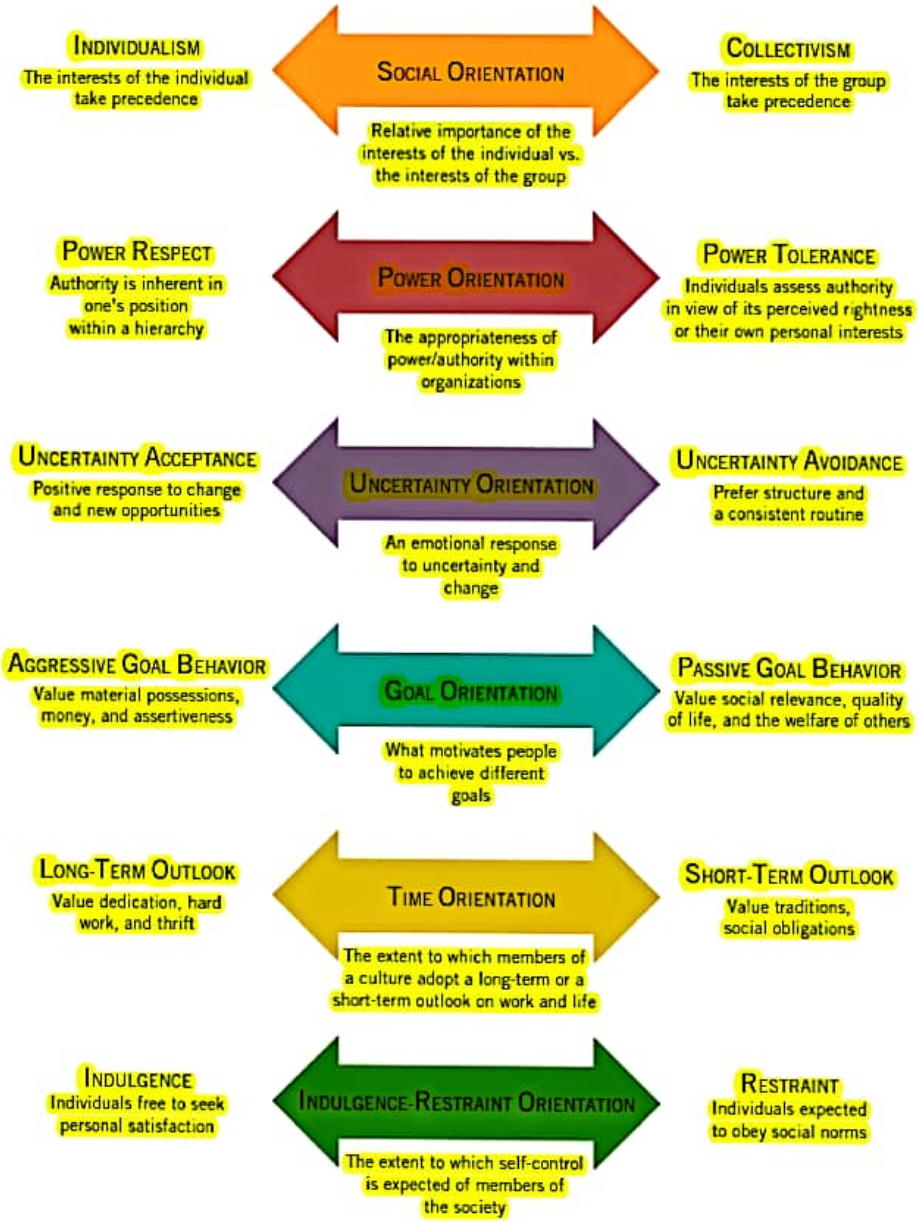
Hofstede's Six Dimensions

The most influential studies analyzing cultural differences and synthesizing cultural similarities are those performed by Geert Hofstede, a Dutch researcher who initially studied 116,000 people working for IBM in dozens of different countries. Although Hofstede's work has been criticized for methodological weaknesses and his own cultural biases, it remains the largest and most comprehensive work of its kind. Hofstede's work identified six important dimensions along which people seem to differ across cultures. These dimensions are shown in Figure 4.2. Note that these dimensions reflect tendencies within cultures, not absolutes. Within any given culture, there are likely to be people at every point on each dimension. Moreover, cultures can change over time, albeit usually slowly.[38]

Social Orientation

The first dimension identified by Hofstede is social orientation.[39] **Social orientation** is a person's beliefs about the relative importance of the individual and the groups to which that person belongs. The two extremes of social orientation, summarized in Table 4.3, are individualism

FIGURE 4.2
Hofstede's Six Dimensions of National Culture



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